

BEFORE THE FEDERAL MARITIME COMMISSION

MCS INDUSTRIES, INC.,

Complainant

v.

MSC MEDITERRANEAN SHIPPING COMPANY S.A.,

Respondent.

DOCKET NO. 21-05

VERIFIED ANSWER OF RESPONDENT
MSC MEDITERRANEAN SHIPPING COMPANY S.A.
TO VERIFIED AMENDED COMPLAINT

Respondent MSC Mediterranean Shipping Company S.A. (“MSC”), by and through undersigned counsel, answers the Verified Amended Complaint of MCS Industries, Inc. (“Complainant”) as follows:

Subject to and without waiving any defenses or affirmative defenses set forth in this Verified Answer, MSC answers the allegations in each numbered paragraph of the Verified Complaint:

1. The allegations of Paragraph 1 of the Verified Complaint consist of Complainant’s description and characterization of the instant action, and do not require a response. To the extent a response is required, MSC denies the allegations of Paragraph 1 of the Verified Complaint and denies that Complainant has stated any claim or is entitled to any reparations.

2. MSC admits that it is a party to the 2M Alliance with Maersk Line A/S. MSC does not understand what is meant by the allegation that it is “poised to become the largest container line in the world,” and therefore denies the allegation. MSC further states that its reported global market share and that of Maersk are each under 20%, well below the thresholds courts and antitrust

agencies generally consider sufficient to exercise market power or otherwise control competition. MSC denies the remainder of the allegations of Paragraph 2, including that the three major carrier alliances “collectively control the vast majority of ocean container shipping,” and that “the global carriers,” who are unspecified in the allegation, “wield enormous power over the global shipping industry.”

MSC further notes that international ocean shipping alliances, which operate pursuant to lawfully filed and effective agreements overseen by the Commission, authorize the parties to share vessels and engage in related cooperative operating activities in various trades that create efficiencies that benefit exporters, importers, and consumers.¹ Such alliances are authorized by the Commission and competition authorities around the world precisely because they create such benefits.² Alliance members price and market their capacity independently, and the ocean shipping industry is considered unconcentrated under the Herfindahl–Hirschman Index,³ an often-used measure of market concentration.

3. MSC denies each of the allegations of Paragraph 3, which are based on information and belief and thus not on any facts known to Complainant.

¹ See, e.g., Maersk/MSK Vessel Sharing Agreement (FMC Agreement No. 012293), *available at* <https://www2.fmc.gov/FMC.Agreements.Web/Public/AgreementHistory/153> (last visited February 22, 2022); see also “2M Agreement Clears FMC Regulatory Review,” *available at* <https://www.fmc.gov/2m-agreement-clears-fmc-regulatory-review/> (last visited February 22, 2022).

² See, e.g., European Commission, Press Release, “Antitrust: Commission prolongs the validity of block exemption for liner shipping consortia” (Mar. 24, 2020), *available at* https://ec.europa.eu/commission/presscorner/detail/en/ip_20_518 (finding that liner alliances “result[] in efficiencies for carriers that can better use vessels' capacity and offer more connections,” and that “those efficiencies result in lower prices and better quality of service for consumers.”).

³ See, e.g., The United States Department of Justice (Antitrust Division), “Herfindahl–Hirschman Index,” *available at* <https://www.justice.gov/atr/herfindahl-hirschman-index> (last visited February 22, 2022).

4. The allegations of Paragraph 4 concern Complainant's actions and purposes in entering into ocean shipping contracts and do not require a response by MSC; to the extent they might require response, MSC is without information and belief concerning them and therefore denies them. MSC admits that it has entered into contracts with Complainant that specify a minimum quantity commitment for cargo to be shipped rates based on that commitment, and avers that Complainant has breached those minimum quantity commitments in every contract it has entered into with MSC, even though it has taken advantage of the lower prices provided in those contracts containing those commitments. MSC has initiated an arbitration against Complaint to recover damages for those breaches.

5. MSC denies each of the allegations of paragraph 5, including the allegations that it and other "global ocean carriers reportedly began taking actions to prop up ocean carriage pricing," including "blank sailings" to create artificial scarcity and boost prices. MSC notes that Complainant's President has testified under oath that there are numerous legitimate reasons for carriers to void sailings to maintain efficient operations, and was unable to provide in that testimony a single fact supporting the conclusion that MSC had voided sailings for any improper purpose. MSC expressly denies that it has used blank, voided, or missed sailings to deprive shippers of capacity, create artificial scarcity, or boost spot market rates.

6. MSC denies each of the allegations of paragraph 6, including the allegation that it has "systematically fail[ed] to meet its quantity commitments to Complainant between certain ports." To the contrary, Complainant has failed to meet its quantity commitments to MSC in each and every year it has had a contract with MSC.

MSC notes further that the allegations in the amended complaint that rates are high due to the actions of MSC and other carriers in creating artificial supply shortages or MSC's deliberate

decisions to breach its contractual obligations are directly contradicted by information Complainant had before it from third parties on whom it was relying for market intelligence, making clear that rates were rising because demand was outstripping supply, that carriers could not increase supply quickly enough to meet this rising demand, that port congestion and other disruptions were causing equipment shortages, and that these factors rather than any desire or practice by carriers not to comply with their contractual obligations were driving the market. These include statements that

“Demand remains high and there isn’t idle capacity to add into the market. Vessel schedules are severely impacted due to terminal conditions and equipment isn’t in the right places. The Suez Canal situation made a challenging market worse.”⁴

“He said by Monday he should have a better idea. He is still saying it is due to equipment shortages and not the actually [sic] allocation they promised us.”⁵

“The situation is container shortages not because the carriers do not want to commit to the contract.”⁶

Complainant nevertheless proceeded to file an action based on theories directly contrary to this information it was receiving in the marketplace.

7. MSC denies each of the allegations of paragraph 7, and notes that the key ones are based on information and belief and thus not on any facts known to Complainant. MSC has honored its service contract commitments to MCS, and even if had not such claims are not properly brought before the Commission. Complainant has had many months to provide some support for its allegation that MSC “benefits from being able to sell previously contracted capacity... to shippers willing to pay a premium, rather than honoring its service contract commitments” and has

⁴ See Email from B. Montesano to G. Yocco and S. Schantzenbach dated April 27, 2021, produced by Complainant in discovery and Bates-labelled P001870.

⁵ *Id.*

⁶ See Email from J. Chang to B. Montesano dated April 23, 2021, produced by Complainant in discovery and Bates-labelled P001871-P001872.

been unable to do so. To the contrary, as set forth above, Complainant had information before it directly contrary to this allegation and ignored it to file a meritless complaint.

8. MSC denies each of the allegations of paragraph 8, and notes that the key ones are based on information and belief and thus not on any facts known to Complainant. MSC has honored its service commitments to MCS, and even if had not claims that it has not are not properly brought before the Commission.

9. MSC denies each of the allegations of paragraph 9. MSC has honored its service contract commitments to MCS, and even if had not claims that it has not are not properly brought before the Commission.

10. MSC denies each of the allegations of paragraph 10. MSC has honored its service contract commitments, and even if had not claims that it has not are not properly brought before the Commission. MSC further notes that the allegations in the paragraph that MSC has sought to increase its capacity, at a time when demand has far exceeded supply, are inconsistent with Complainant's allegations elsewhere in the amended complaint that MSC has artificially limited capacity to "boost prices."

11. The allegations of Paragraph 11 largely concern other unspecified parties and some macroeconomic musings and do not require a response by MSC; to the extent they might require response, MSC denies each of them.

12. MSC denies each of the allegations of paragraph 12.

13. The allegations of Paragraph 13 concern the status of the Complainant and include legal assertions and do not require a response by MSC. To the extent a response by MSC is required, MSC denies the allegations of Paragraph 13 of the Verified Complaint for lack of knowledge or information sufficient to form a belief as to the truth of the matter(s) asserted.

14. MSC admits that it is a company organized under the laws of Switzerland with its principal place of business located at 12-14 Chemin Rieu, 1208 Geneva, Switzerland. The allegations of the second sentence of Paragraph 14 constitute a legal assertion as to which no response is required.

15. The allegations of Paragraph 15 constitute a legal assertion as to which no response is required. In any event, the Commission lacks subject matter jurisdiction over this action because it arises out of alleged breaches of contract and touches on matters of contract that the parties have agreed to arbitrate and over which the Commission's jurisdiction is expressly barred by 46 U.S.C. § 40502(f).

16. The allegations of Paragraph 16 constitute legal assertions, and do not require a response from MSC; to the extent they might require a response from MSC, each allegation is denied.

17. The allegations of Paragraph 17 constitute legal assertions, and do not require a response from MSC; to the extent they might require a response from MSC, each allegation is denied.

18. The allegations of Paragraph 18 constitute legal assertions, and do not require a response from MSC; to the extent they might require a response from MSC, each allegation is denied.

19. The allegations of Paragraph 19 constitute legal assertions, and do not require a response from MSC; to the extent they might require a response from MSC, each allegation is denied.

20. The allegations of Paragraph 20 constitute legal assertions, and do not require a response from MSC; to the extent they might require a response from MSC, each allegation is denied.

21. The allegations of Paragraph 21 constitute legal assertions, and do not require a response from MSC; to the extent they might require a response from MSC, each allegation is denied.

22. MSC admits that it entered into a written service contract with Complainant effective May 1, 2021 titled “Ocean Carrier Agreement,” Contract Number 21-104TPC, and a written service contract with Complainant effective May 1, 2020 titled “Ocean Carrier Agreement,” Contract Number 20-213TPC.

23. Admitted.

24. Answering Paragraph 24, MSC admits that it entered into an amendment of the 2020 Contract and states that the amendment is the best evidence of its terms.

25. Answering Paragraph 25, MSC states that the 2020 Contract is the best evidence of its terms.

26. Answering Paragraph 26, MSC denies that Complainant met its minimum quantity commitment under the 2020 contract. Complainant tendered less than its minimum quantity commitment under the 2020 contract without justification or excuse.

27. MSC denies each allegation of Paragraph 27.

28. MSC denies each allegation of Paragraph 28

29. Answering Paragraph 29, MSC states that Complainant did not meet its minimum quantity commitment under the 2020 contract, and denies that MSC was responsible for this

failure. Complainant does not and cannot show that it timely and properly made bookings as required under the contract to meet its minimum quantity commitment under the 2020 contract.

30. The allegations of Paragraph 30 concern the Complainant and do not require a response by MSC; to the extent they might require a response from MSC, each allegation is denied.

31. The allegations of Paragraph 31 concern the Complainant and do not require a response by MSC; to the extent they might require a response from MSC, each allegation is denied and it is denied that MSC is responsible for any damages to Complainant or that the Commission would have jurisdiction for damages for this alleged breach of contract.

32. Answering Paragraph 32, MSC admits that it entered into a service contract with Complainant effective May 1, 2021, and denies each of the remaining allegations.

33. Answering Paragraph 33, MSC states that the 2021 Contract is the best evidence of its terms.

34. Answering Paragraph 34, MSC states that the 2021 Contract is the best evidence of its terms.

35. Answering Paragraph 35, MSC states that Complainant did not provide cargo as contemplated under the minimum quantity commitment in the first three months under the 2021 contract, and denies that MSC was responsible for this failure. Complainant does not and cannot show that it timely and properly made bookings as required under the contract.

36. Answering Paragraph 36, MSC states that Complainant did not provide cargo at Qingdao and Tianjin as contemplated under the minimum quantity commitment in the first three months under the 2021 contract, and denies that MSC was responsible for this failure. When Complainant did book cargo as provided under the contract it was carried.

37. The allegations of Paragraph 37 concern the Complainant and do not require a response by MSC; to the extent they might require a response from MSC, each allegation is denied.

38. The allegations of Paragraph 38 concern the Complainant and do not require a response by MSC; to the extent they might require a response from MSC, each allegation is denied and it is denied that MSC is responsible for any damages to Complainant or that the Commission would have jurisdiction for damages for this alleged breach of contract.

39. MSC denies each allegation of Paragraph 39.

40. MSC denies that Paragraph 40 sets forth accurately the statement of Mr. DeMarino it purports to quote and avers that the document purportedly quoted, in full and in context, is the best evidence of its contents. MSC has honored its service contract commitments to MCS, and even if had not claims that it has not are not properly brought before the Commission.

41. MSC denies that Paragraph 41 sets forth accurately the statement of Ms. Kapica it purports to quote and avers that the document purportedly quoted, in full and in context, is the best evidence of its contents. MSC has honored its service contract commitments to MCS, and even if had not claims that it has not are not properly brought before the Commission.

42. MSC denies each of the allegations of Paragraph 42, including that it sets forth accurately the statement of Mr. Triscone it purports to quote, and avers that the document purportedly quoted, in full and in context, is the best evidence of its contents. MSC has honored its service contract commitments to MCS, and even if had not claims that it has not are not properly brought before the Commission.

43. Answering Paragraph 43, MSC states that Contracts are the best evidence of their terms, and admits that the acronym PSS generally stands for Peak Season Surcharge.

44. Admitted.

45. Answering Paragraph 45, MSC states that it fulfilled its obligations under the contracts within its capacity, admits that it has increased its capacity to meet increasing demand during the pandemic, and denies the remainder of the allegations.

46. The allegations of Paragraph 46 concern the Complainant and do not require a response by MSC; to the extent they might require a response from MSC, they are denied.

47. MSC denies each of the allegations of Paragraph 47. The Peak Season Surcharge (PSS) is surcharge introduced to alleviate the additional costs borne by MSC during peak season. The PSS charge is neither imposed nor applied unilaterally on shippers like the Complainant but is applied only applied when accepted by shipper. In certain contract years, Complainant did accept the surcharge, while in others it did not; regardless, MSC carried Complainant's timely and properly booked cargo in accordance with its contractual obligations.

48. The allegations of Paragraph 48 concern other persons and do not require a response by MSC; to the extent they might require a response from MSC, the Commission and its Chairman's statements in full and in context are the best evidence of their contents.

49. The allegations of Paragraph 49 concern another person and do not require a response by MSC; to the extent they might require a response from MSC, the Chairman's statements in full and in context are the best evidence of their contents.

50. MSC denies each of the allegations of Paragraph 50.

51. MSC denies each of the allegations of Paragraph 51.

52. Answering Paragraph 52, MSC states that the contracts are the best evidence of their terms and denies that it has breached the contracts.

53. Answering Paragraph 53, MSC states that the Contracts are the best evidence of their terms and denies that it has breached the contracts.

54. MSC denies each of the allegations of Paragraph 54.

55. MSC denies each of the allegations of Paragraph 55.

56. MSC denies that Paragraph 56 sets forth accurately the statements of Mr. DeMarino, including the statements it purports to quote and avers that the document purportedly quoted, in full and in context, is the best evidence of its contents. MSC has honored its service contract commitments to MCS, and even if had not claims that it has not are not properly brought before the Commission.

57. MSC denies that Paragraph 57 sets forth accurately the statements it purports to quote, avers that the document purportedly quoted, in full and in context, is the best evidence of its contents, and denies that it failed to comply with the contract with respect to the referenced 9 containers. MSC has honored its service contract commitments to MCS, and even if had not claims that it has not are not properly brought before the Commission.

58. The allegations of Paragraph 58 concern Complainant and do not require a response by MSC; to the extent they might require a response from MSC the document purportedly quoted, in full and in context, is the best evidence of its contents.

59. MSC denies that Paragraph 59 sets forth accurately the statements it purports to quote, avers that the document purportedly quoted, in full and in context, is the best evidence of its contents, and denies that it failed to comply with the contract. MSC has honored its service contract commitments to MCS, and even if had not claims that it has not are not properly brought before the Commission.

60. The allegations of Paragraph 60 concern Complainant and do not require a response by MSC; to the extent they might require a response from MSC they are denied.

61. The allegations of Paragraph 61 are denied.

62. The allegations of Paragraph 62 are denied.

63. The allegations of Paragraph 63 are denied.

64. The allegations of Paragraph 64 are denied.

65. MSC denies that Paragraph 65 sets forth accurately the statements it purports to quote, avers that the document purportedly quoted, in full and in context, is the best evidence of its contents, and denies that it failed to comply with the contract.

66. MSC denies that Paragraph 66 sets forth accurately the statements it purports to quote, avers that the document purportedly quoted, in full and in context, is the best evidence of its contents, and denies that it failed to comply with the contract. MSC has honored its service contract commitments to MCS, and even if had not claims that it has not are not properly brought before the Commission.

67. The allegations of Paragraph 67 are denied.

68. The allegations of Paragraph 68 are denied.

69. MSC denies that Paragraph 69 sets forth accurately the statements it purports to quote, avers that the document purportedly quoted, in full and in context, is the best evidence of its contents, and denies that it failed to comply with the contract. MSC has honored its service contract commitments to MCS, and even if had not claims that it has not are not properly brought before the Commission.

70. MSC denies that Paragraph 70 sets forth accurately the statements it purports to quote, avers that the document purportedly quoted, in full and in context, is the best evidence of its contents, and denies that it failed to comply with the contract. MSC has honored its service contract commitments to MCS, and even if had not claims that it has not are not properly brought before the Commission.

71. MSC denies that Paragraph 71 sets forth accurately the statements it purports to quote, avers that the document purportedly quoted, in full and in context, is the best evidence of its contents, and denies that it failed to comply with the contract. MSC has honored its service contract commitments to MCS, and even if had not claims that it has not are not properly brought before the Commission.

72. The allegations of Paragraph 72 constitute a legal assertion, and do not require a response from MSC; to the extent they might require a response from MSC each allegation is denied.

73. The allegations of Paragraph 73 are denied.

74. Answering paragraph 74, MSC states that it authorizes dozens of companies to interact with its booking system to place booking requests for shippers or their agents, and that shippers can, and do, choose among these companies to place booking requests, and can, and do, select a different company to do so if they are dissatisfied with a company they have previously chosen.

75. The allegations of Paragraph 75 concern Complainant and do not require a response by MSC; to the extent they might require a response from MSC, MSC is without information as to what Complainant “typically” does and thus denies the allegation.

76. The allegations of Paragraph 76 concern Complainant and do not require a response by MSC; to the extent they might require a response from MSC, MSC is without information as to what Complainant’s “long history” is and thus denies the allegation.

77. The allegations of Paragraph 77 concern Complainant and do not require a response by MSC; to the extent they might require a response from MSC, MSC is without information as to what Complainant considers “typical” in its operations and thus denies the allegation. MSC

does note that Complainant's transportation manager responsible for ocean transportation testified under oath that she did not know what a booking agent was, casting doubt on Complainant's allegation that it "typically" works with such agents.

78. The allegations of Paragraph 78 are denied.

79. The allegations of Paragraph 79 are denied.

80. Answering paragraph 80, MSC states that Complainant's own documents and sworn interrogatory answers show that during the periods central to Complainant's claims Complainant made only sporadic attempts at best to book cargo, that these attempts did not comply with the contract, and that Complainant was not keeping good track of any of this either itself or through its agents.

81. The allegations of Paragraph 81 are denied. Complainant failed to provide MSC with timely and properly made bookings and did not even attempt to contact MSC for weeks on end about any bookings during the period in which it now claims MSC was wrongly refusing to carry its cargo.

82. The allegations of Paragraph 82 are denied.

83. The allegations of Paragraph 83 are denied.

84. The allegations of Paragraph 84 are denied.

85. The allegations of Paragraph 85 are denied.

86. MSC denies that Paragraph 86 sets forth accurately the statements it purports to quote, avers that the document purportedly quoted, in full and in context, is the best evidence of its contents and denies that it failed to comply with any obligation with respect to the alleged request.

87. MSC denies that Paragraph 87 sets forth accurately the statements it purports to quote, avers that the document purportedly quoted, in full and in context, is the best evidence of its contents and denies that it failed to comply with any obligation with respect to the alleged request, which was made the day before Complainant filed its initial complaint with the Commission without any prior notice to MSC but with a public relations firm already lined up to publicize the complaint before it was served, or with any contractual obligation.

88. The allegations of Paragraph 88 are denied.

89. The allegations of Paragraph 89 are denied.

90. The allegations of Paragraph 90 constitute a legal assertion, and do not require a response from MSC; to the extent they might require a response from MSC, each allegation is denied.

91. The allegations of Paragraph 91 are denied.

92. The allegations of Paragraph 92 are denied.

93. The allegations of Paragraph 93 are denied.

94. The allegations of Paragraph 94 constitute a legal assertion, and do not require a response from MSC; to the extent they might require a response from MSC, each allegation is denied.

95. The allegations of Paragraph 95 are denied.

96. The allegations of Paragraph 96 constitute a legal assertion, and do not require a response from MSC; to the extent they might require a response from MSC, each allegation is denied.

97. The allegations of Paragraph 97 are denied.

98. The allegations of Paragraph 98 are denied.

99. The allegations of Paragraph 99 concern other persons and do not require a response by MSC; to the extent they might require a response from MSC, the Commission and its Chairman's statements in full and in context are the best evidence of their contents.

100. The allegations of Paragraph 100 are denied.

101. The allegations of Paragraph 101 are denied.

102. The allegations of Paragraph 102 are denied.

103. MSC denies that Paragraph 103 sets forth accurately the statements it purports to quote, avers that the document purportedly quoted, in full and in context, is the best evidence of its contents and denies that it failed to comply with any obligation with respect to the alleged request, or with any contractual obligation.

104. The allegations of Paragraph 104 are denied.

105. The allegations of Paragraph 105 are denied.

106. The allegations of Paragraph 106 concern another person and do not require a response by MSC; to the extent they might require a response from MSC, the Commission's statements in full and in context are the best evidence of their contents.

107. Paragraph 107 in which Complainant "repeats and realleges each and every allegation" of the preceding paragraphs does not require a response by MSC. MSC has responded to each preceding paragraph separately above, and incorporates those responses as if repeated in full herein.

108. The allegations of Paragraph 108 call for a legal conclusion, and do not require a response; to the extent a response by MSC is required, MSC denies the allegations. MSC further states that the allegations of the Complaint and this count state at best a claim arising out of a breach of contract and are outside the Commission's jurisdiction.

109. Paragraph 109 in which Complainant “repeats and realleges each and every allegation” of the preceding paragraphs, does not require a response by MSC. MSC has responded to each preceding paragraph separately above, and incorporates those responses as if repeated in full herein.

110. The allegations of Paragraph 110 call for a legal conclusion, and do not require a response; to the extent a response by MSC is called for, MSC denies the allegations. MSC fully complied with the Ocean Carrier Agreement between MSC and Complainant. Any noncarriage of MSC cargo during the term of the Ocean Carrier Agreement was in line with the Ocean Carrier Agreement and attributable to Complainant’s failure to comply therewith or to other causes outside of MSC’s reasonable control. MSC further states that the allegations of the Complaint and this count state at best a claim arising out of an alleged breach of contract and are outside the Commission’s jurisdiction.

111. Paragraph 111 in which Complainant “repeats and realleges each and every allegation” of the preceding paragraphs, does not require a response by MSC. MSC has responded to each preceding paragraph separately above, and incorporates those responses here as if repeated in full herein.

112. The allegations of Paragraph 112 call for a legal conclusion, and do not require a response; to the extent a response is required, MSC denies the allegations. MSC further states that the allegations of the Complaint and this count do not state a violation of 46 U.S.C. § 41104(a)(5) because they allege discrimination against Complainant, who is not a port, and not any unfair or unjustly discriminatory practice in the matter of rates or charges with respect to any port.

113. Paragraph 113 in which Complainant “repeats and realleges each and every allegation” of the preceding paragraphs, does not require a response by MSC. MSC has responded

to each preceding paragraph of the Verified Complaint separately above, and incorporates those responses here as if repeated in full herein.

114. The allegations of Paragraph 114 call for a legal conclusion, and do not require a response; to the extent a response is required, MSC denies the allegations. MSC further states that the allegations of the Verified Complaint and this count do not state a violation of 46 U.S.C. § 41104(a)(9) because they allege a prejudice or disadvantage against Complainant, who is not a port, and not any undue or unreasonable prejudice or disadvantage in the matter of rates or charges with respect to any port.

115. Paragraph 115 in which Complainant “repeats and realleges each and every allegation” of the preceding paragraphs does not require a response by MSC. MSC has responded to each preceding paragraph of the Verified Complaint separately above, and incorporates those responses here as if repeated in full herein.

116. The allegations of Paragraph 116 call for a legal conclusion, and do not require a response; to the extent a response is required, MSC denies the allegations. MSC further states that the allegations of the Complaint and this count do not state a violation of 46 U.S.C. § 41104(a)(10) because they do not allege a refusal to deal or negotiate, but to the contrary allege that MSC negotiated and entered into service contracts with Complainant and claims arising out of alleged breach of that contract, which are outside the Commission’s jurisdiction.

117. The allegations of Paragraph 117 concern actions of the Complainant and do not require a response. To the extent a response is required, MSC denies the allegations and denies it is responsible for any damage to Complainant.

118. The allegations of Paragraph 118 are denied.

119. The allegations of Paragraph 119 are denied.

120. The allegations of Paragraph 120 are denied.

121. The allegations of Paragraph 121 are denied.

122. MSC denies all allegations of the paragraphs of the Verified Complaint styled “PRAYER FOR RELIEF,” including subparagraphs (1) - (5), and denies that Complainant is entitled to any relief in this proceeding.

123. If an oral hearing proves necessary for any purpose in this proceeding, MSC agrees that it should be held in Washington, D.C.

124. MSC denies all allegations contained in any headings, introductions, unnumbered paragraphs or subparts of the Verified Complaint.

DEFENSES & AFFIRMATIVE DEFENSES

1. The Commission lacks jurisdiction over this matter, because Complainant’s claims arise out of the Ocean Carrier Agreement between MSC and the Complainant, and are subject to arbitration in New York.

2. Complainant fails to state a claim upon which relief can be granted.

3. Complainant’s claims are barred in whole or in part because any damages Complainant allegedly incurred resulted from its own inaction, negligence or other fault.

4. Any alleged damages sustained by the Complainant were proximately, directly, and solely caused by the acts of third persons over whom MSC had and has no direction or control.

5. Complainant’s claims are barred in whole or in part by the doctrines of waiver, estoppel, and/or laches.

6. Any alleged nonperformance of the contract or violations alleged herein were reasonable because caused by matters outside MSC’s reasonable control and MSC is not responsible for damages resulting therefrom.

7. MSC's practices were neither unjust nor unreasonable.
8. MSC reserves any jurisdictional defenses or rights to arbitrate or proceed in another forum.
9. MSC reserves the right to amend this Verified Answer to raise any additional defenses or affirmative defenses that may arise in the course of this proceeding.

WHEREFORE, Respondent MSC Mediterranean Shipping Company SA respectfully requests that the Verified Complaint be dismissed, that Complainant take nothing, that MSC be awarded its costs and attorney's fees, and that it receive such other and further relief that may be necessary and appropriate.

Respectfully submitted,

/s Michael Scanlon

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*Counsel for Respondent MSC Mediterranean
Shipping Company S.A.*

Date: February 22, 2022

CERTIFICATE OF SERVICE

I certify that on the 22nd day of February 2022, a true and correct copy of the foregoing Answer was filed via electronic mail with the Secretary of the Federal Maritime Commission, and a copy was served via electronic mail on the following:

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Counsel for Complainant MCS Industries, Inc.

/s/ John Longstreth

VERIFICATION

I, Frank Sanford, declare as follows:

1. I am the General Counsel of the Corporate Legal Department of MSC Mediterranean Shipping Company SA.
2. I am duly authorized to make this verification on behalf of MSC Mediterranean Shipping Company S.A.
3. I have read the contents of MSC Mediterranean Shipping Company S.A.'s foregoing Answer to the Amended Complaint and verify that the statements of fact contained therein are true and correct to the best of my knowledge, information, and belief.
4. I verify the foregoing under penalty of perjury under the laws of the United States.

Executed on February 24, 2022.



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